CSX Corporation (CSX): Sell

Analyst: Justin Wen

Deteriorating fundamentals meet a premium multiple. Revenue fell 3.1%, margins compressed, and free cash flow dropped from $2.7B to $1.7B. At $48.28 the market has not noticed. Our base case sees $30.89, 36% downside.

Sell	$30.89	$48.28	-36.0%
RATING	BASE TARGET (BLENDED $29.78)	SPOT (OCT 14, 2026)	DOWNSIDE TO BASE

$20.24 / $37.10	9.72%	$14.09B	$4.72B	$1.71B	15.5x
BEAR / BULL TARGETS	LIVE WACC	2025 REVENUE (-3.1%)	2025 OP. INCOME	2025 FREE CASH FLOW	EV/EBITDA (TTM)

Executive summary

We rate CSX **Sell** with a $30.89 base-case target (blended $29.78). This is the rare name where overvaluation meets genuine business deterioration: 2025 revenue of $14.09B fell 3.1% year over year, operating income declined to $4.72B from $5.40B, net income dropped to $2.89B from $3.47B, and free cash flow collapsed from $2.7B to $1.7B. The eastern network faces tougher intermodal competition and a weaker merchandise mix.

> **Model update:** this note reflects our revised Class 1 rail framework: base exit EV/EBITDA raised to 14.5x (from 13.0x) to reflect 15.1-15.5x market TTM multiples, mid-year discounting, a PP&E-linked depreciation schedule replacing flat D&A, and a terminal-value weighting toggle (default 50/50 exit multiple vs Gordon growth).

Base-case assumptions

SCENARIO	EXIT EV/EBITDA	TARGET	UPSIDE
Bear (25%)	12.0x	**$20.24**	-58%
Base (50%)	14.5x	**$30.89**	-36%
Bull (25%)	15.0x	**$37.10**	-23%

WACC 9.72% live (spot 10Y ~5.2% + 1.21 beta x live-solved implied ERP). Detailed EBIT bridge: revenue to EBIT margin to EBIT, cash taxes, plus D&A (PP&E roll), minus capex, minus change in NWC, to unlevered FCF. Mid-year discounting. Terminal value blends Gordon perpetuity (2.5% growth) with EV/EBITDA exit, default 50/50 weighting. 25/50/25 Bear/Base/Bull weights give blended $29.78.

Justin Wen Equity Research - Not investment advice and for entertainment purposes only.

Bull case: $37.10

A sharp volume rebound and margin recovery could justify $37.10, still 23% below spot. The bull case requires both cyclical recovery and a return to prior operating ratios.

Bear case: $20.24

Continued volume declines and margin compression push the bear case to $20.24. If the merchandise mix keeps weakening, the multiple compresses alongside earnings.

Verdict

We rate CSX **Sell**. Unlike its western peer, CSX shows the deterioration markers that justify the label: negative 3.1% revenue growth, compressing margins, and free cash flow down nearly 40% in a year. At $48.28 and 15.5x TTM EV/EBITDA, the market prices CSX as if none of this happened. Our base case at 14.5x exit EV/EBITDA with mid-year discounting sees $30.89, 36% downside. We would revisit on evidence of volume stabilization and margin recovery.

What would change our mind

- **Price:** stabilization in carload volumes and a return toward prior operating ratios would force a rethink.
- **Volume inflection:** a sustained carload recovery across merchandise and intermodal would lift every scenario.
- **Multiple regime:** if the market permanently rerates rails above 16x EV/EBITDA, our exit multiples are too conservative.

Justin Wen

Key themes

1. Revenue is going the wrong way DECELERATING

2025 revenue of $14.09B fell 3.1% year over year, the weakest trend among the three Class 1s we cover. Merchandise volumes are soft and intermodal faces truck competition.

2. Margins are compressing DECELERATING

Operating income fell from $5.40B to $4.72B. The operating ratio is moving the wrong direction while UNP holds near 60%. Cost discipline has slipped.

3. Free cash flow collapsed DECELERATING

FCF dropped from roughly $2.7B to $1.7B. Capex intensity is unchanged, so the entire decline flowed through from weaker operations. Dividend coverage is thinning.

4. Eastern network discount is warranted STABLE

CSX's shorter hauls and denser competition justify a discount to UNP, but the market currently grants none: 15.5x TTM EV/EBITDA versus 15.1x for UNP.

Other KPIs

METRIC	VALUE
Market cap (at $48.28)	~$93B
2025 revenue / YoY	$14.09B / -3.1%
2025 operating income	$4.72B
2025 free cash flow	$1.71B
EV/EBITDA (TTM)	15.5x
Live WACC	9.72%

Guidance

Watch merchandise carloads, operating ratio versus plan, intermodal pricing against truckload rates, and any management commentary on cost actions.

Justin Wen

Class 1 rails: three-way comparison

Our rail coverage is a single comparison model. All three names share the same framework: 14.5x base exit EV/EBITDA, mid-year discounting, PP&E-linked D&A, and live CAPM WACC. The table below shows every name side by side.

METRIC	UNP	CSX	NSC
Current price	$286.43	$48.28	$323.73
Beta (live)	0.95	1.21	1.29
WACC (live CAPM)	8.77%	9.72%	10.01%
Bear target	$158.44	$20.24	$123.68
Base target	$217.75	$30.89	$193.40
Bull target	$255.30	$37.10	$228.72
Blended (25/50/25)	$212.31	$29.78	$184.80
Downside to blended	-25.9%	-38.3%	-42.9%
EV/EBITDA (TTM)	15.1x	15.5x	15.4x
2025 revenue	$24.51B	$14.09B	$12.18B
2025 FCF	$5.50B	$1.71B	$2.16B

UNP screens as the best long on fundamentals (lowest WACC, strongest FCF, best network) but remains overvalued. CSX is the outright Sell: deteriorating revenue, compressing margins, and collapsing FCF at a premium multiple. NSC is stabilizing but priced for UNP-like execution it has not yet delivered.

Reverse DCF: what the market is pricing in

At $48.28, CSX carries a market-implied five-year revenue CAGR of roughly **~8%** under our base-case FCF margin held flat and the 9.72% live WACC, well above what the operating outlook supports at a 14.5x exit multiple.

Model

Full three-scenario 2026-2031 DCF with live CAPM, beta decay, detailed EBIT bridge, Gordon perpetuity and EV/EBITDA exit terminal with weighting toggle, mid-year discounting, and implied-ERP tab. Comparison tab covers all three Class 1s.

Risks to our Sell

- **A freight recovery lifts volumes faster than our bear case assumes.**
- **Management executes a credible cost program that restores the operating ratio.**
- **An activist or strategic bid emerges for the eastern network.**

Justin Wen